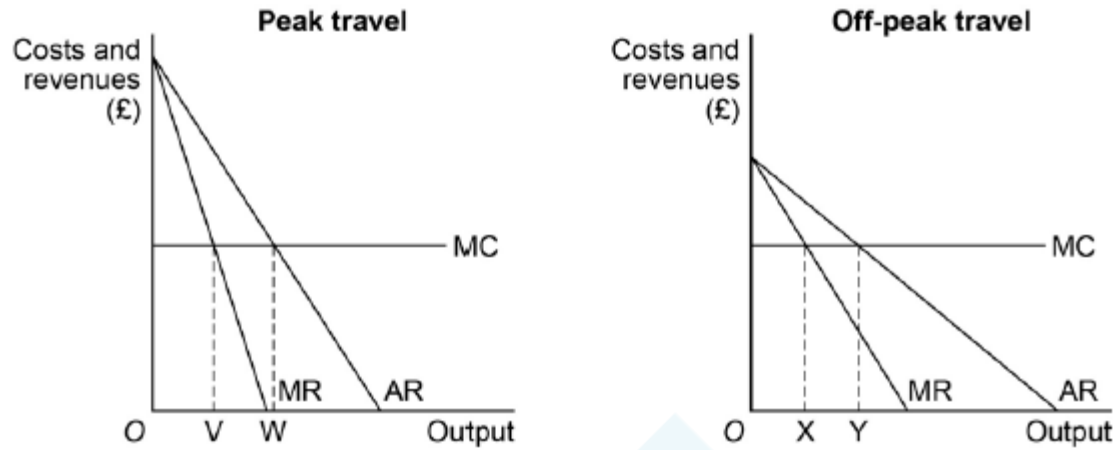


1.

The diagrams below show the peak and off-peak travel markets for a price-discriminating train operating company. The firm is a monopolist and the costs in both markets are the same.



To maximise profits, how much should be supplied in each market?

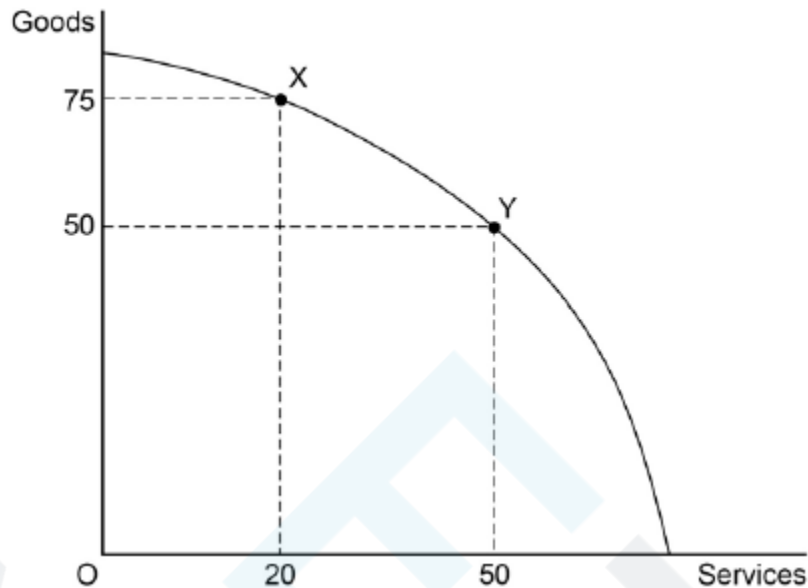
	Peak travel	Off-peak travel	
A	OV	OX	☐
B	OV	OY	☐
C	OW	OX	☐
D	OW	OY	☐

[1 mark]

2.

The diagram below is a production possibility curve showing the various combinations of goods and services that an economy can produce.

Which one of the following can be deduced from the diagram?



- A Point Y is allocatively efficient but Point X allocatively inefficient ☐
- B Point Y is productively efficient but Point X productively inefficient ☐
- C The opportunity cost of producing more goods, in terms of services, is greater at Point Y than at Point X ☐
- D The opportunity cost of producing more goods, in terms of services, is lower at Point Y than at Point X ☐

[1 mark]

3.

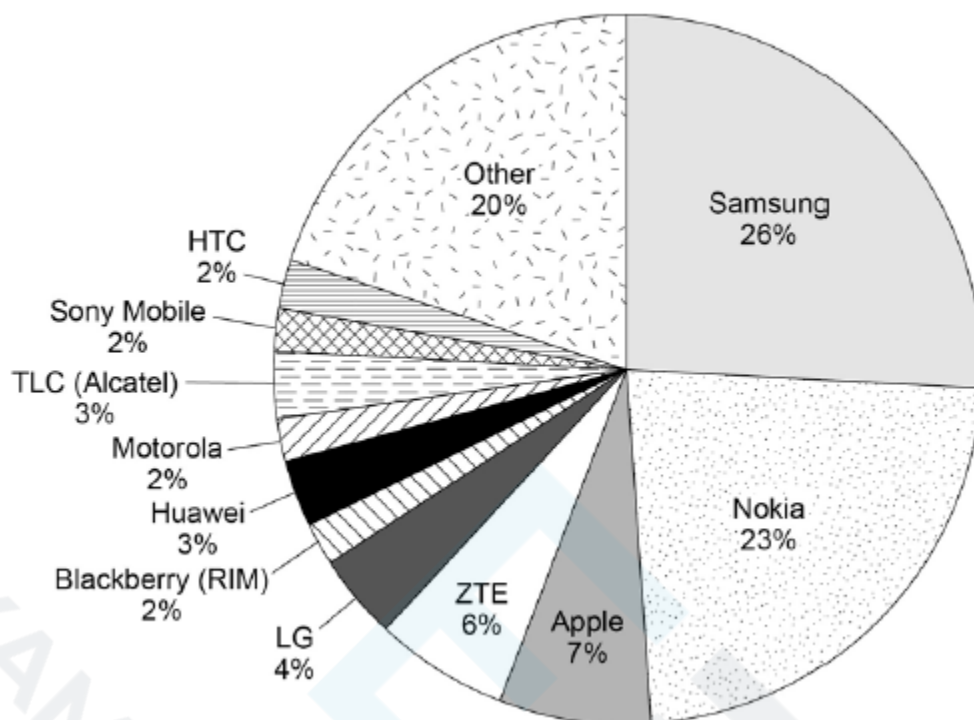
Explain what is meant by 'supernormal profits' (**The Global Context Extract B**, line 21) and analyse the likely effects on an electricity company of a one-off windfall tax that would take a percentage of its supernormal profits.

[9 marks]



4.

The table below shows the market share of mobile phone handset producers in 2012.



From the data, what is the 5 firm concentration ratio?

A 62%

B 66%

C 69%

D 82%

☐☐☐☐

[1 mark]

Extract C: Some international trends

Some of the costs facing firms in the electricity market are domestic, such as, the charges levied by the companies who own the transmission cables. However, many input costs are determined internationally, including coal, gas and even labour costs. For example, npower, which is owned by a German company, recently announced plans to cut 1400 office and call centre jobs (about 15% of its UK workforce) as part of a major re-structuring, outsourcing them to India. While reducing labour costs this way, it increased prices by 10.4 per cent.

The costs of producing electricity could go down if the UK adopts fracking, a process widely used in the USA. Fracking involves the use of chemicals to extract oil and gas from rocks deep underground. In the USA, electricity prices have fallen as a result of the production of shale gas using this controversial process. Would there be a similar reduction in electricity prices in the UK? Some economists predict that this will not be the case. American shale gas is sold within the USA, whereas, without government intervention, UK gas is more likely to be exported via pipelines to generators on the Continent, to take advantage of high prices there.

Critics of the Big Six might argue that electricity companies should not have been privatised as they can never behave or perform like supermarkets. They claim that this is due to differences between the two industries, such as the type of product sold, entry barriers, minimum efficient scale, company objectives, effects of technological change and international factors.

Source: News reports, 2013

6.

THE GLOBAL CONTEXT

Extract B: The Big Six

The UK electricity industry used to be a nationalised state monopoly. In the 1980s, a process of privatisation of utilities began with the stated aims of increasing competition, efficiency and investment. Now, in theory, competing generating companies produce electricity and sell it wholesale to competing supply companies to sell retail to final customers. In practice, the markets have become dominated by six large-scale multinationals (the Big Six). There are about ten smaller firms which are mainly involved on the retail side but some have generating capacity, such as wind farms.

There is evidence that, while the wholesale costs of generating electricity differ quite considerably, retail prices charged to customers all end up being very similar. Critics say that the market is not working efficiently for various reasons, including insufficient separation between generating and selling electricity. The main concern of the regulator, Ofgem, has been to promote consumer choice. It has therefore encouraged consumers to consider switching suppliers. Prime Minister, David Cameron, has suggested that customers should shop around as they would when buying groceries from supermarkets. The generators are now charging prices which have given profit margins of between 8 and 32 per cent, while the retailing divisions have profit margins of 5 or 6 per cent.

For comparison, supermarkets can operate on profit margins as low as 2 or 3 per cent. The electricity companies claim that they have to make high profits in order to invest. Critics argue that supermarkets also have to invest, and are more genuinely competitive.

In 1997, the Labour Government announced a one-off windfall tax on the privatised utilities, which took a percentage of their supernormal profits (also referred to as 'abnormal' or 'excess' profits). This was done to put right the bad deal customers and taxpayers were alleged to have got from privatisation. In 2013, when Leader of the Opposition, Ed Miliband, announced a possible future government policy of freezing energy prices for 20 months, the companies claimed this would hit investment in much needed new generating capacity.

Source News reports, 2013

7.

Profit maximising monopolies are said to be allocatively inefficient due to

- A their marginal revenue being greater than their marginal cost. ☐
- B their average revenue being greater than their average cost. ☐
- C their average revenue being greater than their marginal cost. ☐
- D their marginal revenue being equal to their marginal cost. ☐

[1 mark]



8.

The law of diminishing returns is an economic principle which will inevitably affect firms in the short run, whereas it is not always possible for firms to achieve economies of scale.

Evaluate the view that firms will always try to minimise their costs and maximise their revenues.

[25 marks]

9.

In August 2013, the UK government argued that there needed to be greater competition in energy markets in the UK.

Evaluate the view that if markets can be made more contestable there is no need for further government intervention.

[25 marks]

10.

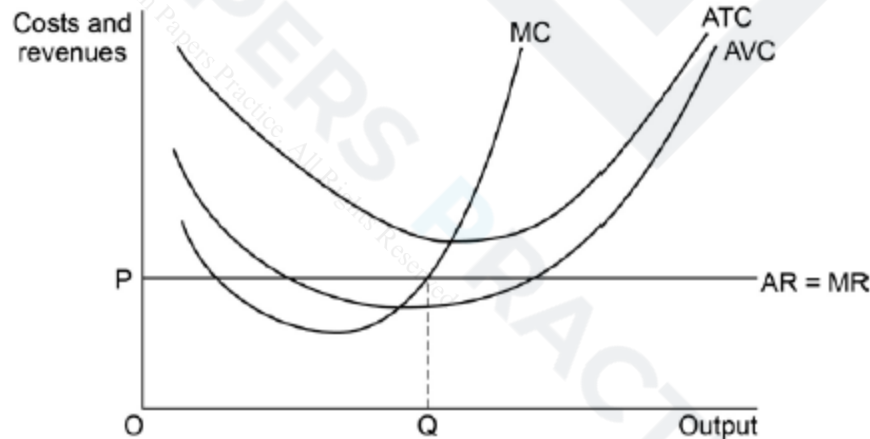
'In tackling environmental problems there is not really a straight choice between perfectly performing markets on the one hand, and wonderfully wise governments on the other.'
(**Extract C**, lines 18 – 19).

Using the data and your knowledge of economics, assess the relative importance of market forces and government intervention in encouraging businesses to behave responsibly towards the environment.

[25 marks]

11.

The diagram below shows the cost and revenue curves for a firm in a perfectly competitive market.





All other things being equal, the firm

- A is making a loss in the short run but will remain in the market in the long run. ☐
- B is making a profit and will remain in the market in the long run. ☐
- C will exit the market immediately to minimise its loss. ☐
- D is minimising its loss by staying in the market in the short run. ☐

[1 mark]

12.

In August 2013, the UK government argued that there needed to be greater competition in energy markets in the UK.

Explain why a lack of competition is likely to lead to allocative and productive inefficiency in markets such as the market for energy.

[15 marks]

13.

'In the real world of business, two observations can consistently be made. Firstly, sooner or later, the law of diminishing returns will operate; and secondly, over time, profit maximising is always a key goal.'

Evaluate the view that, for all firms, whether small or large, in the long run, profit maximisation is always more important than any other business objective.

[25 marks]

14.

The UK energy market Extract B (lines 11–12) states that there is 'no evidence of collusion between energy suppliers to date.'

With the help of a diagram, explain how collusion between energy suppliers could affect the retail prices paid by consumers.

[9 marks]

15.

It is generally accepted that we need to adopt new ways of charging for the use of our roads. This is partly because of worsening congestion, but is also due to the reduction in revenue generated from taxes on fuels as a result of more fuel-efficient vehicles.

Assess the view that a system of road-pricing is the best way to tackle the problem of worsening traffic congestion in the UK.

[25 marks]

**16.**

Apple sells iPhones and iPads at considerably lower prices in the USA than in the UK market, but sources the products from the same factories in the Far East.

Discuss the view that price discrimination only benefits suppliers, such as Apple.

[25 marks]**17.**

Apple sells iPhones and iPads at considerably lower prices in the USA than in the UK market, but sources the products from the same factories in the Far East.

Explain why firms, such as Apple, might be able to charge different prices for the same product in different markets.

[15 marks]**18.**

Explain how the data in **The UK energy market Extract A** show that energy companies have exploited their market power.

[4 marks]**19.**

The UK energy market

Extract B: Are energy firms exploiting their market power?

The UK energy market was privatised in the early 1990s and is dominated by six firms, British Gas, EDF Energy, E.ON, Npower, Scottish Power and SSE. These firms supply, produce and own energy reserves. Gas is the main source of fuel used by electricity generators.	1
The increase in household fuel bills has been a cause of rising inflation in recent years. In autumn 2013, prices were increasing at three times the rate of inflation. Energy prices have risen faster than average earnings and 6.5 million households were spending over 10% of their incomes on energy and so experiencing 'fuel poverty'.	5
Are the oligopolistic energy utilities exploiting their monopoly power? Firms raise prices quickly when their wholesale costs increase, but are slow to reduce them when market conditions change. The energy regulator, OFGEM, doesn't regulate prices or profits, but aims to promote greater competition in the market. OFGEM has found no evidence of collusion between energy suppliers to date.	10
Wholesale energy costs are responsible for around half the final domestic bill. Suppliers buy energy on the wholesale market from energy producers. Contracts are complex and firms buy energy to cover their future needs. A generator may sell energy to a supplier within the same company before it is sold on to the consumer. The determination of wholesale prices and their link to retail prices aren't clear.	15
UK households faced over 1756 different price plans in early 2013. This makes it difficult for consumers to compare rates and few consumers switch supplier. In 2013 OFGEM intervened to fix the maximum number of price plans to four per firm; this should bring greater price transparency.	20

Source: News reports, October 2013

20. The UK energy market

Extract A: Average household dual fuel bills August 2009–2013 (£)

	2009	2010	2011	2012	2013
Household bills	1145	1105	1250	1310	1420
Wholesale energy costs per bill	615	485	585	625	635
Profit per bill	10	55	45	50	95

Source: Contains public sector information licensed under the Open Government Licence v. 1.0

- 21.** During 2015, the European Commission investigated allegations that people booking at Disneyland Paris, and on the cruises of some shipping lines, paid substantially different prices for the same holiday. British and German customers appear to have paid more than French customers.

Explain the conditions that enable price discrimination to take place.

[15 marks]

- 22.** 'In the middle of the twentieth century, the UK had more than 20 large car producing companies, and countless small, local manufacturers, many of which also produced motorbikes and pedal cycles. Now there is no single car producer that is purely 'British' and, globally, there are probably fewer than 20 significant car producers in the world.'

Evaluate whether growing market concentration and monopoly power, in an industry such as motor manufacturing, are necessarily undesirable.

[25 marks]

- 23.** Sony, one of the largest electronics and entertainment companies in the world, started out as a two-man operation in a back-yard garage. Facebook, now a huge global company, was created by two college students to enable their circle of friends to communicate with each other.

Since economies of scale give major advantages to large firms, is there any future, without government intervention, for small firms in a global economy? Justify your answer.

[25 marks]

- 24.** 'In the middle of the twentieth century, the UK had more than 20 large car producing companies, and countless small, local manufacturers, many of which also produced motorbikes and pedal cycles. Now there is no single car producer that is purely 'British' and, globally, there are probably fewer than 20 significant car producers in the world.'

Explain how economic theory suggests that perfect competition among many small firms leads to an efficient allocation of resources.

[15 marks]

25.

During 2015, the European Commission investigated allegations that people booking at Disneyland Paris, and on the cruises of some shipping lines, paid substantially different prices for the same holiday. British and German customers appear to have paid more than French customers.

Evaluate the view that price discrimination is always good for producers and bad for consumers, and should therefore be banned by regulators such as the EU Commission.

[25 marks]